

Professorship of Corporate Law
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Introduction to Business Law

Standard Business Terms

Summer Term 2025



Case 1 – Case facts

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Buyer B wants to buy a car from car dealer D. D presents to her a two-page document during the negotiation and asks B to sign it. This document, which D uses for the first time, has the heading: “Standard car sales contract”. Among other provisions, the following clause is included:

“6.1.: Any liability for damages caused in the framework of the delivery of the good is excluded. An exception is made for the liability in cases of intent.”

B skims the document and signs it.

Question: Did D use effective standard business terms?

Case 2a) – Case facts

3

Car owner (O) wants to get his car washed in a car wash operated by W. O passes a sign in front of the car wash that was already there during his last three washes. The sign is clearly readable and states:

“We are not liable for damage to the paintwork caused by the customer's failure to properly operate the car wash.”

O does not pay attention to the sign. However, he pays the price and goes through with the car wash.

Question: Did W use effective standard business terms?

Case 2b) – Case facts

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Car owner (O) wants to get his car washed in a car wash operated by W. O passes a sign in front of the car wash that was already there during his last three washes. The sign is clearly readable and states:

“We are not liable for damage to the paintwork, caused by the customer's failure to properly operate the car wash.”

O does not pay attention to the sign. However, he pays the price and goes through with the car wash.

During the wash, a roller causes damage to the car's paintwork. The cause is an incorrect setting during W's last check of the car wash.

O demands compensation from W. W rejects this with reference to the sign with his general terms and conditions.

Question: Does O have a claim for damages against W?

Case 3 – Case facts

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The producing company (P) is interested in a machine made by the machine building company (M). After the contract negotiations, M makes an offer on Thursday and refers to its effective standard business terms:

“§ 3 : Payment is due the business day after the conclusion of the contract.”

P accepts the offer on Friday. However, in the same e-mail, P refers to its own effective standard business terms:

“§ 2 : Payment shall be made upon arrival of the goods.”

The next business day, Monday, M ships the machine and reminds P about the outstanding payment. P refuses to pay until the machine has arrived with reference to its standard business terms.

Question: Can M demand payment from P on Monday?